

IN THE HONORABLE SUPREME COURT OF THE REPUBLIC OF LIBERIA
SITTING IN ITS MARCH TERM, A.D. 2025

BEFORE HER HONOR: SIE-A-NYENE G. YUOHCHIEF JUSTICE
BEFORE HER HONOR: JAMESETTA H. WOLOKOLIE.....ASSOCIATE JUSTICE
BEFORE HIS HONOR: YUSSIF D. KABA.....ASSOCIATE JUSTICE
BEFORE HIS HONOR: YAMIE QUIQUI GBEISAY, SR.....ASSOCIATE JUSTICE
BEFORE HER HONOR: CEANEH D. CLINTON JOHNSON.....ASSOCIATE JUSTICE

Republic of Liberia, by and thru the Ministry of Foreign)
Affairs and the Ministry of Justice, represented by the)
Minister of Justice, the Solicitor General, and all lawyers)
in the employ of the Ministry of Justice..... Appellant)

Versus)

APPEAL

Backwell Group, S.A, a corporation organized and)
existing under the laws of the British Virgin Islands, with)
offices at 16 Great Queen Street, London, WC2B 5DG)
England, by and thru its Agent, Counsellor David A. B.)
Jallah, of the City of Monrovia, Liberia..... Appellee)

GROWING OUT OF THE CASE:)

Republic of Liberia, by and thru the Ministry of Foreign)
Affairs and the Ministry of Justice, represented by the)
Minister of Justice, the Solicitor General, and all lawyers)
in the employ of the Ministry of Justice..... Applicant)

Versus)

) APPLICATION FOR AN
) ORDER TO COMPEL
) ARBITRATION

Backwell Group, S.A, a corporation organized and)
existing under the laws of the British Virgin Islands, with)
offices at 16 Great Queen Street, London, WC2B 5DG)
England, by and thru its Agent, Counsellor David A. B.)
Jallah, of the City of Monrovia, Liberia..... Appellee)

Heard: April 28, 2025

Decided: May 29, 2025

MADAM CHIEF JUSTICE YUOH DELIVERED THE OPINION OF THE COURT

The records certified to this Court reveal that on December 8, 2011, Backwell Group, S.A, the appellee herein, filed an application with the Sixth Judicial Circuit, Civil Law Court, Montserrado County, requesting the court to order and compel the Republic of Liberia, the

appellant herein, to submit to arbitration, pursuant to a June 23, 2008 stipulation executed by the parties and styled "*Stipulation to Facilitate Compliance with a Judgment of the Civil Law Court for the Sixth Judicial Circuit in the case, Republic of Liberia, Petitioner v. Backwell Group, S. A., Respondent. Action of Cancellation*". We note that the referenced action for cancellation was filed by the Republic of Liberia seeking to cancel an agreement and the addendum thereto with the appellee, wherein the latter was contracted by the appellant to produce Three Hundred Fifty Thousand (350,000) pieces of machine-readable passports with biometric features for the appellant; that although the appellee did produce the said passports, the appellant reneged on its obligation to pay the appellee for the said passports, but sought to repudiate the agreement and to have same cancelled through the aforementioned cancellation proceedings; and that in a final ruling delivered on February 2, 2007, the trial court denied the Government's petition for cancellation, to which final ruling the Government noted exceptions and thereafter perfected an appeal to the Supreme Court.

The records also show that while the said appeal was pending hearing and determination before the Supreme Court, the parties entered a stipulation for the withdrawal of the appeal to afford the parties the opportunity to amicably resolve their dispute and facilitate the enforcement of the final ruling of the trial court emanating from the action of cancellation which was against the Government and in favor of the appellee; and that the stipulation for the withdrawal of the appeal from the Supreme Court, having been approved by the late Chief Justice Johnnie N. Lewis, the appeal was stricken from the records of the court subject to the parties' compliance with the terms of the stipulation which was the basis for the termination of the appeal.

Following the execution of the Stipulation, it is apparent that the appellee was of the view that the appellant was reneging on its obligations as contained in the Stipulation, as the records reveal that the appellee's legal counsel executed two separate communications to the appellant, the first of which was dated March 11, 2011, and the second, June 17, 2011. In the latter communication, the counsel noted that the only payment the appellant had made to the appellee was Two Hundred Ten Thousand United States Dollars (US\$210,000.00) representing seven thousand (7,000) passports that had been issued by the Ministry of Foreign Affairs since the execution of the Stipulation; that the appellant had since then refused to issue the passports that had been produced by the appellee, and had also failed to pay the appellee for the remainder of the passports; that predicated on the statement of the appellant's obligation to the appellee, the outstanding balance owed the appellee by the appellant was Six Million Two Hundred Forty Thousand United States Dollars (US\$6,240,000.00). Hence, the appellee's counsel invoked clause 12 of the Stipulation of withdrawal and notified the appellant that the appellee was proceeding to arbitration, predicated on the said clause 12 which provides that in the event of default of any of the Parties to the Stipulation, or any dispute arising from the Stipulation, the dispute will be resolved through negotiations; and where negotiation fails, or is deemed futile, the dispute shall be resolved by arbitration.

We note that predicated on the Stipulation, the appellant was obligated to pay the appellee the amount of Twenty-One United States Dollars Seventy-Five Cents (US\$21.75) for every passport that was issued by the Ministry of Foreign Affairs at a price of at most Twenty Five

United States Dollars (US\$25.00), and an addition 40% of the difference between the initial issuance price of US\$21.75 and the new issuance price, if the passport were to be issued at a price greater than Twenty Five United States Dollars (US\$25.00).

While the records remain silent as to the appellant's response to the appellee's request that the parties proceed to arbitration in accordance with clause 12 of the Stipulation, we observe that on December 8, 2011, the appellee filed an application before the Sixth Judicial Circuit, Civil Law Court, Montserrado County requesting the court to compel the appellant to submit to arbitration, pursuant to clause 12 of the Stipulation mutually executed by the parties and approved by the late Chief Justice of the Supreme Court, His Honor Johnnie N. Lewis.

After pleadings rested and trial was had on the application, the trial court ruled granting the appellee's application and ordered the appellant to submit to arbitration. The appellant noted exceptions to the final ruling of the trial court, announced an appeal to the Supreme Court, and thereafter perfected the said appeal.

On November 18, 2024, when this appeal was called for hearing, the Republic of Liberia, the appellant herein, by leave of court, made a submission on the records requesting continuance of the matter to afford the appellant's counsels the opportunity to consult with the stakeholders; we quote verbatim the submission, to wit:

"One of the counsels for the appellant most respectfully requests Your Honors for an adjournment of the hearing of this matter to allow counsels for the appellant to consult with stakeholders to have this matter properly handled. This request is in light of the fact that the counsels had a stipulation which was given effect by the former Chief Justice, His Honor Johnnie N. Lewis (late). This action is intended to have the opportunity to contact the actors/stakeholders for an informed opinion and to thereafter revert to this Honorable Court within a week or two..."

In resistance to the submission made by one of the counsels for the appellant, the counsel for the appellee stated as follows, to wit:

"This matter has been before the Supreme Court since 2014, [hence], the request by the appellant for another two weeks to return to this Court does not seem to us reasonable..., should appellee wait until after the two weeks and come for assignment, or will the Court *sua sponte* assign the hearing of this appeal or make an assignment on the record now?"

In response to the appellant's submission and the appellee's resistance thereto, this Court noted from the records that although the appellant had previously filed with this Court a stipulation for the withdrawal of its appeal emanating from the Action for Cancellation, the said Stipulation had not been fully complied with. Hence the said stipulation remained pending before the Supreme Court given that it had been approved by the late Chief Justice Johnnie N. Lewis. Premised on this discovery by the Court, the appellant's submission was granted and the latter was given two (2) weeks to conclude its negotiations with the appellee, but with the *proviso* that the failure of the parties, especially the appellant, to fully execute the conditions of the Stipulation, this Court will enter upon the records and render an

confirming the final ruling of the trial court which order that the appellant submit to arbitration.

Again when this case was called for hearing on April 28, 2025, more than five (5) months after the deadline set, that is December 2, 2024, for full execution of the conditions of the Stipulation approved by this Court, we note that the parties, especially the appellant, have still not fully executed the conditions of the Stipulation, neither has it filed any information to this Court pertaining to their respective compliance with the Court's orders.

It is the law that *"when the appellant and appellee, or the petitioner and respondent shall in vacation by themselves, or either counsel, sign and file with the clerk an agreement in writing directing the cause to be withdrawn and specifying the terms on which it is to be withdrawn as to costs, shall pay to the clerk any fees that may be due him and the ministerial officers, it shall be the duty of the clerk to enter the case withdrawn upon the approval of the Chief Justice or any Justice of the Court, and to give to either party requesting it, a certificate of withdrawal"* Revised Rules of the Supreme Court, Section III, Part 2; *Liberia Traffic Management Incorporated v. Republic of Liberia & Modern Development and Management Corporation*, Supreme Court Opinion, March Term, 2022.

The parties having failed to fully execute the conditions of the Stipulation of Withdrawal, the Supreme Court may still exercise thereof jurisdiction as far as enforcement of said Stipulation is concerned.

In disposing of this appeal, we are of the considered view that the only issue germane to the disposition thereof is whether the trial court acted properly when it ordered the parties to proceed to arbitration.

As we stated earlier, the Stipulation executed by the parties remains reviewable by this Court until fully executed. Hence, we shall also address same herein.

The Parties executed the referenced Stipulation predicated on their mutual agreement that instead of the appellant paying the appellee Thirty United States Dollars (US\$30.00) per passport issued by the Ministry of Foreign Affairs, the appellant was obligated to pay the appellee Twenty One & Seventy-Five Cents United States Dollars (US\$21.75), provided that the appellant charged at most Twenty Five United States Dollars (US\$25.00) as issuance fee and if the appellant charged an issuance fee any amount in excess of Twenty Five United States Dollars (US\$25.00), the appellant would be obligated to pay the appellee the Twenty One & Seventy-Five Cents United States Dollars (US\$21.75) plus forty percent (40%) of the difference between the US\$25.00 and the excess amount the appellant more than the US\$25.00. Furthermore, the Stipulation provided that the parties could resort to arbitration if any dispute were to arise thereunder. It was predicated on this clause that the appellee proceeded to file its application with the trial court to compel the parties to submit to arbitration.

Noting that the Stipulation of Withdrawal having clearly set forth that the parties will submit to arbitration where negotiations failed, the trial court properly ruled compelling the parties to proceed to arbitration. Hence, we find no reason to disturb the final ruling of the trial

court, especially as same is in strict conformity with the Stipulation executed by the parties and approved by the Supreme Court.

As we stated earlier, the Stipulation approved by the late Chief Justice remains binding and enforceable against the parties, and this Court retains jurisdiction to ensure full compliance therewith. Given that it is approximately 17 years since the Stipulation was approved, and the appellant has failed to fully comply with the terms and conditions thereof, this Court orders the appellant to forthwith submit to arbitration as of the reading of this Mandate, or pay the appellee the outstanding balance for the costs of the passports produced at the instance of the appellee in accordance with clause 8 of the Stipulation, and we so hold.

WHEREFORE AND IN VIEW OF THE FOREGOING, the final ruling of the Sixth Judicial Circuit, Civil Law Court, Montserrado County is affirmed, and the appellant is ordered to submit to arbitration within six months as of the reading of this Mandate. Failure of the appellant to submit to arbitration within the six months, the appellant is ordered to pay the appellee the outstanding balance for the costs of the passports as per clause 8 of the Stipulation. The Clerk of this Court is ordered to send a Mandate to the trial court commanding the judge presiding therein to resume jurisdiction over this case and give effect to this Judgment. Costs are disallowed. AND IT IS HEREBY SO ORDERED.

Affirmed

When this case was called for hearing, Counsellors Augustine C. Fayiah, Solicitor General, Republic of Liberia, Jerry D. K. Galawolu, Assistant Minister for Litigation, and Adolphus D. Karnuah, II, all of the Ministry of Justice appeared for the appellant. Counsellors H. Varney G. Sherman appeared for the respondents.